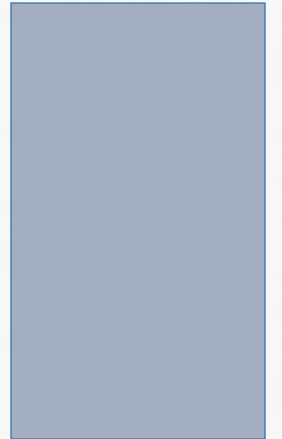


LEVELS OF STRATEGY

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WHAT IS STRATEGY?

- Strategy is concerned with the planned action that an organization undertakes at each level. strategy is an integrated set of decisions which specify the 'where' and the 'how' to compete.1/29It is very important to understand how and at what levels the strategies operate.

LEVELS OF STRATEGY:

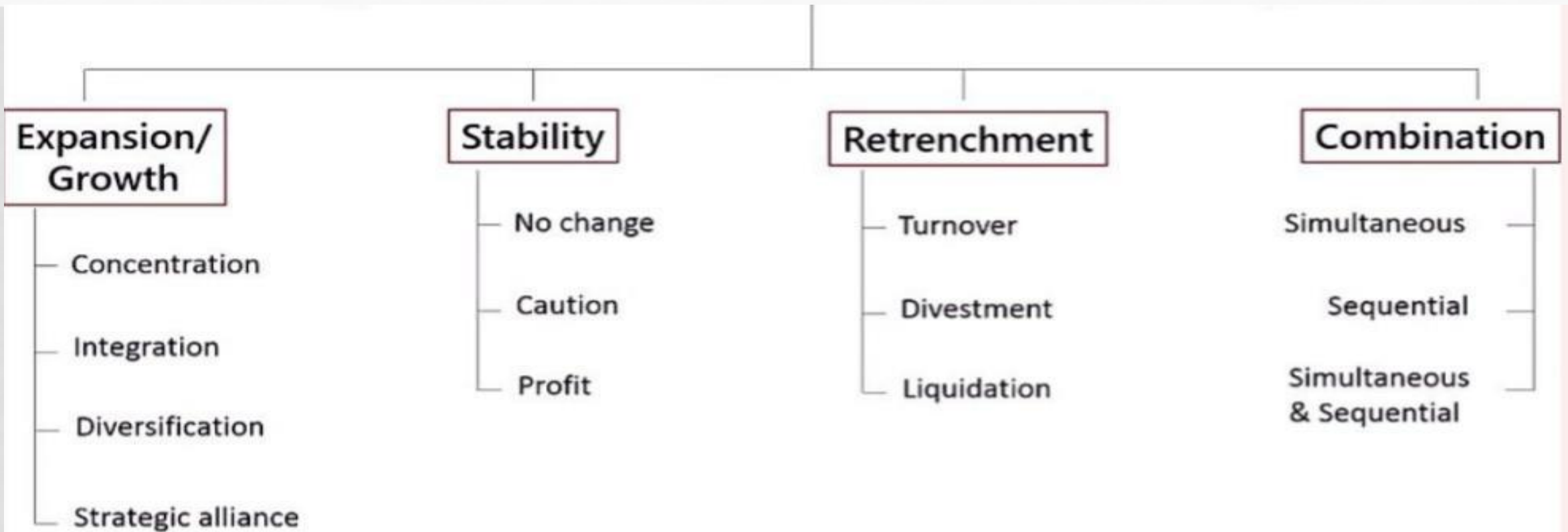
There could be three levels of strategy:

1. Corporate Level Strategy
2. Business Level Strategy
3. Functional Level Strategy

1. CORPORATE LEVEL STRATEGIES

- The top management of a company is entrusted with defining its corporate profile describing the company's overall direction and the attitude towards growth along with the management of its resources at the grand level. The management has to identify the areas in which the company is or should be operating. Corporate level strategies are the strategies that are formulated by the top management for the entire organization.

- Corporate level strategies are meant to serve the company with providing the direction in which it should employ its resources, be it the case of small business firm involved in single business or a large diversified conglomerate.
- These strategies are also known as GRAND/MASTER STRATEGIES.
- These strategies present an organization with the strategic alternatives that are available.



BUSINESS LEVEL STRATEGIES

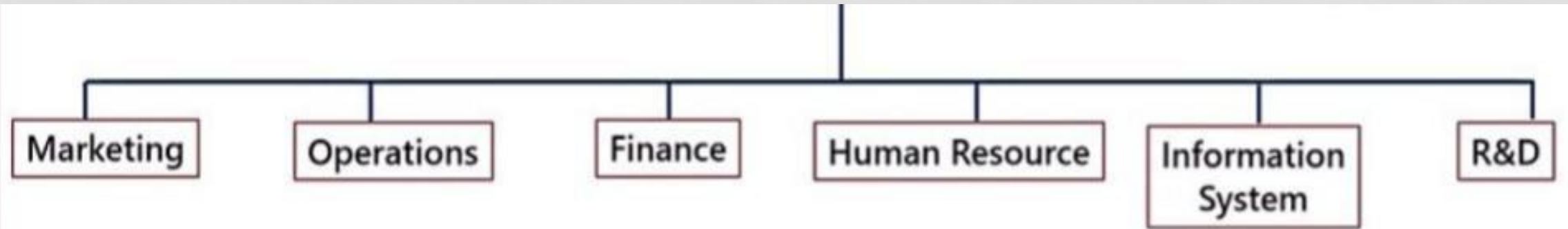
- These strategies are employed at business unit or product level and emphasizes the competitiveness of the company's product or services in the specific segment.
- A business level strategy is the strategy opted by a firm for each of its businesses separately, to serve the identified customer groups by providing value to these customers by satisfaction of their needs.
- In the process, the manager craft competitive strategies for each business unit to create, sustain and enhance competitive advantage using its competencies.

There are three types of GENERIC BUSINESS STRATEGIES:

1. Cost Leadership Business Strategy
2. Differentiation Business Strategy
3. Focus Business Strategy

FUNCTIONAL LEVEL STRATEGIES

- After the strategies have been developed at corporate and business level, strategies should be formulated at functional unit level as well.
- For entire organization to move in the overall direction that has been pursued by the formulation of corporate strategy with the aid of the business level strategy, the strategy should be formulated at the functional levels as well to support the implementation of the overall strategy at the ground level.
- Functional strategies deals with a relatively restricted plan designed to achieve objectives in a specific functional area, allocation of resources among different operations within the functional area and coordination among different functional areas for accomplishment of the business and corporate level objectives.
- These strategies are derived from business level and corporate level strategies and are implemented through functional and operational implementation.



CORPORATE LEVEL STRATEGIES

- Corporate level strategies are decisions related to allocation of resources among the different businesses of a firm, transforming resources from one set of businesses to others and managing and nurturing a portfolio of businesses.

- Corporate strategies help to exercise the choice of direction that an organization adopts.
- In small firms, corporate strategy would mean the adoption of courses of action that yield better profitability for the firm.
- In large, multi business, firms the corporate strategy would also be about managing the various business definitions.

EXPANSION & GROWTH STRATEGIES

- When an organization aims at high growth by substantially broadening the scope of one or more of its businesses in terms of their respective customer groups, customer functions and alternative technologies, singly or jointly, in order to improve its overall performance.

(I) CONCENTRATION:

- **Concentration:** A growth strategy adopted by the company to concentrate by investing more resources in marketing and production of only one primary product or market in such a manner that growth results.
- The benefit of the strategy is to build a strong reputation within a market and generate loyalty among the customers.

II) INTEGRATION:

- **Integration:** Integration means combining activities related to the present activity of a firm, results in a widening of scope of the business definition of a firm.
- Horizontal integration (Same types of products)
- Vertical integration (New products for own needs)
 - Backward integration
 - Forward integration

(III) DIVERSIFICATION:

- **Diversification:** substantial change in business definition, singly or jointly, in terms of customer function, customer groups or alternative technologies of one or more firm's businesses.
- Concentric / Related diversification
- Conglomerate / Unrelated diversification

STABILITY STRATEGIES

The corporate strategy of stability is adopted by an organization when it attempts at incremental improvement of its performance by marginally changing one or more of its businesses in terms of their respective customer functions and alternative technologies.

- No change
- Caution
- Profit

RETRENCHMENT STRATEGIES

The corporate strategy of retrenchment is followed when an organization aims at contraction of its activities through a substantial reduction or elimination of the scope of one or more of its businesses in terms of their respective customer group, customer fractions or alternative technologies in order to improve its overall performance.

- Divestment
- Turnover
- Liquidation

COMBINATION/MIXED STRATEGIES

- When an organization adopts a mixture of stability, expansion and retrenchment strategies, either at the same time in its different businesses or at different times in one of its business, with the aim of improving its performance.

BUSINESS LEVEL STRATEGIES

- These strategies are employed at business unit or product level and emphasizes the competitiveness of the company's product or services in the specific segment.
- A business level strategy is the strategy opted by a firm for each of its businesses separately, to serve the identified customer groups by providing value to these customers by satisfaction of their needs. In the process, the manager craft competitive strategies for each business unit to create, sustain and enhance competitive advantage using its competencies.
- The bases on which an organization may seek to achieve a lasting position in its environment are known as generic strategies. According to Michael Porter, there are three fundamental ways in which firms might achieve sustainable competitive advantage.

BUSINESS LEVEL STRATEGIES

There are three types of GENERIC BUSINESS STRATEGIES:

1. Cost Leadership Business Strategy
2. Differentiation Business Strategy
3. Focus Business Strategy

1. COST LEADERSHIP STRATEGY

- A firm which finds and exploits all sources of cost advantage and aims at becoming a low cost producer in the industry is said to pursue a sustainable cost leadership strategy. It implies achieving the lowest cost in production and marketing to gain a larger market share compared with competitors over time. If a firm can achieve and sustain overall cost leadership then it will be an above average performer in the industry provided it can command price at or near the industry average.
- The advantage of relative market share of a substantial order may lead to cost advantage through economies of scale, buying power, or cost efficiency which follows increased volume of activity.

2. DIFFERENTIATION BUSINESS STRATEGY

- A firm seeking to be unique in its industry along some dimensions of its product or service that are widely valued by customers is said to have adopted differentiation strategy. The uniqueness of the product or services may be by way of design, brand image, customer service, dealer network, or any such attributes.
- Differentiation strategy requires that a firm choose attributes in which to differentiate itself that are different from its rivals. According to Porter, such a firm is also rewarded for its uniqueness with a premium price. This is because a product or service that offers something unique, or is of greater value than the competing products or services, should merit a higher price.

3. FOCUS STRATEGY

- When a firm seeks a narrow competitive scope, selects a segment or group of segments in the industry and tailors its strategy to serving them to the exclusion of others, the strategy is termed as focus strategy. It may be a cost focus, if the firm seeks cost advantage in its target segment, or it may be differentiation focus, if the form seeks differentiation in its target segment.